

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE SENATE

SENATE BILL NO. 1258

BY STATE AFFAIRS COMMITTEE

AN ACT

RELATING TO LIQUOR; AMENDING SECTION 23-903, IDAHO CODE, TO AUTHORIZE LICENSURE FOR A DISTILLERY; AMENDING SECTION 23-910, IDAHO CODE, TO PROVIDE AN EXEMPTION FOR OFFICERS, AGENTS, AND EMPLOYEES OF A DISTILLERY; AMENDING SECTION 23-912, IDAHO CODE, TO PROVIDE AN EXEMPTION FOR A DISTILLERY; AMENDING SECTION 23-944, IDAHO CODE, TO PROVIDE AN EXEMPTION FOR A DISTILLERY; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 23-903, Idaho Code, be, and the same is hereby amended to read as follows:

23-903. LICENSE TO RETAIL LIQUOR. (1) The director of the Idaho state police is hereby empowered, authorized, and directed to issue licenses to qualified applicants, as provided in this chapter, whereby the licensee shall be authorized and permitted to sell liquor by the drink at retail, and, upon the issuance of such license, the licensee shall be authorized to sell liquor at retail by the drink, but only in accordance with the rules promulgated by the director and the provisions of this chapter. No license shall be issued for the sale of liquor on any premises outside the incorporated limits of any city except as provided in this chapter, and the number of licenses so issued for any city shall not exceed one (1) license for each one thousand five hundred (1,500) of population of said city or fraction thereof, as established in the last preceding census, or any subsequent special census conducted by the United States census bureau or by an estimate that is statistically valid including adding the number of new residential utility connections or including adding the population of areas annexed into the city after the last census or special census was conducted, except that upon proper application thereof not more than two (2) licenses may be issued for each incorporated city with a population of one thousand five hundred (1,500) or less, unless the retail licensing of liquor by the drink has been previously disapproved under the provisions of sections 23-917, 23-918, 23-919, 23-920 and 23-921, Idaho Code; provided however, that any license heretofore issued may be renewed from year to year without regard to the population or status of the city for which such license is issued. Any license issued that has remained in effect at its location for a consecutive period of ten (10) years or more shall be deemed to have been validly issued and may be renewed from year to year, provided that the applicant for the renewal of such license is not otherwise disqualified for licensure pursuant to section 23-910, Idaho Code, and, if the premises required special characteristics for original licensure, other than being either within or without the incorporated limits of a city, that said premises continue to have such special characteristics at the time of the application for renewal.

1 (2) Nothing in this chapter shall prohibit the issuance of a license to
2 the owner, operator, or lessee of an actual bona fide golf course whether lo-
3 cated within or without the limits of any city, or located on premises also
4 operated as a winery or ski resort, or to the lessee of any premises situ-
5 ate thereon, whether located within or without the limits of any city. For
6 the purpose of this section, a golf course shall comprise an actual bona fide
7 golf course, which is regularly used for the playing of the game of golf, hav-
8 ing not less than nine (9) tees, fairways, and greens laid out and used in the
9 usual and regular manner of a golf course. Nine (9) hole courses must have a
10 total yardage of at least one thousand (1,000) yards, and eighteen (18) hole
11 courses must have a total yardage of at least two thousand (2,000) yards as
12 measured by totaling the tee-to-green distance of all holes. The course must
13 be planted in grass except that it may provide artificial tee mats. Where any
14 such golf course is owned or leased by an association of members and is used
15 or enjoyed by such members or their guests, none of the disqualifications
16 contained in section 23-910, Idaho Code, shall apply to such association as
17 a licensee where such disqualifications, or any of them, would apply only to
18 a member of such association where such member has no interest therein except
19 as a member thereof. Provided, a building that is located on a lake of not
20 less than one hundred sixty (160) acres with not less than two hundred (200)
21 feet of lake frontage, owned or leased and operated exclusively by an actual
22 bona fide golf course licensed for the sale of liquor by the drink, as oth-
23 erwise defined in this subsection, located not more than five tenths (.5) of
24 a mile from the golf course exterior boundaries, and accessible by that golf
25 course by private or public roadway or right-of-way shall be deemed part of
26 and contiguous to the licensed golf course premises for purposes of the sale
27 of liquor by the drink upon such premises.

28 (3) For purposes of this section, a ski resort shall comprise real prop-
29 erty of not less than ten (10) acres in size, exclusive of the terrain used
30 for skiing and upon which the owner, operator, or lessee of the ski resort has
31 made available himself or through others, including but not limited to the
32 owners of condominiums, permanent bona fide overnight accommodations avail-
33 able to the general public for one hundred (100) persons or more, and which
34 real property is contiguous to or located within the area in which skiing oc-
35 curs and is regularly operated as a ski resort in the wintertime where the
36 owner, operator, or lessee of the ski resort is also the owner, operator, or
37 lessee of the area served by a bona fide chair ski lift facility or facili-
38 ties. Alternatively, for the purpose of this section, a ski resort may also
39 be defined as a downhill ski area, open to the public, comprising real prop-
40 erty of not less than two hundred fifty (250) skiable acres, operating two
41 (2) or more chairlifts with a vertical lift of one thousand (1,000) feet or
42 more, and capable of transporting a minimum of one thousand eight hundred
43 (1,800) skiers per hour. A ski resort qualifying under this definition shall
44 also have on the premises a lodge facility providing shelter and food ser-
45 vice to the public, the operator of which shall also be the valid owner or
46 lessee of the grounds and facilities upon which the ski resort offers down-
47 hill skiing services to the public. The fees for licenses granted to ski re-
48 sorts shall be the same as those prescribed for golf courses as set forth in
49 section 23-904, Idaho Code. Not more than one (1) licensed premises shall be

1 permitted on any golf course or any ski resort or within the area comprising
2 the same.

3 (4) Nothing in this chapter shall prohibit the issuance of a license to
4 the owner, operator, or lessee of an actual bona fide equestrian facility lo-
5 cated on not less than forty (40) contiguous acres, with permanently erected
6 seating of not less than six thousand (6,000) seats, no part of which eques-
7 trian facility or the premises thereon is situate within the incorporated
8 limits of any city, and which facility shall have at least three (3) days per
9 year of a professionally sanctioned rodeo. Not more than one (1) licensed
10 premises shall be permitted at any equestrian facility or within an area com-
11 prising such a facility. The fees for licenses granted to equestrian facil-
12 ities shall be the same as those prescribed for golf courses as set forth in
13 section 23-904, Idaho Code.

14 (5) Nothing in this chapter shall prohibit the issuance of a license to
15 the owner, operator, or lessee of a restaurant operated on an airport owned
16 or operated by a county or municipal corporation or on an airport owned or
17 operated jointly by a county and municipal corporation, and which said air-
18 port is served by a trunk or local service air carrier holding a certificate
19 of public convenience and necessity issued by the civil aeronautics board of
20 the United States of America. Not more than one (1) license shall be issued
21 on any airport.

22 (6) Nothing in this chapter shall prohibit the issuance of one (1) club
23 license to a club as defined in section 23-902, Idaho Code. The holder of
24 a club license is authorized to sell and serve alcoholic beverages for con-
25 sumption only within the licensed establishment owned, leased, or occupied
26 by the club and only to bona fide members of the club and to bona fide mem-
27 bers' guests. A club license issued pursuant to the provisions of this sec-
28 tion is not transferable and may not be sold. Any club license issued pur-
29 suant to the provisions of this section will revert to the director when, in
30 his judgment, the licensee ceases to operate as a bona fide club as defined
31 in section 23-902, Idaho Code. No club may hold a liquor license and a club
32 license simultaneously. A club that on July 1, 1983, holds a liquor license
33 may continue to possess that license. Any club that possesses a liquor li-
34 cense on January 1, 1983, or thereafter, and then sells that liquor license,
35 may not obtain a club license, and the director shall not issue a club li-
36 cense to that club for a period of five (5) years following such sale. The
37 fee for any license issued to a qualifying club within an incorporated mu-
38 nicipality shall be as prescribed in subsections (1), (2) and (3) of sec-
39 tion 23-904, Idaho Code. The fee for any license issued to a qualifying club
40 not situate within an incorporated municipality shall be as specified for
41 golf courses under section 23-904(6), Idaho Code. The provisions of section
42 23-916, Idaho Code, regarding county and city licenses shall pertain to club
43 licenses. The burden of producing sufficient documentation of qualifica-
44 tions for club licensure shall be with the club applicant.

45 (7) Nothing in this chapter to the contrary shall prohibit the issuance
46 of a license to the owner, operator, or lessee of an actual bona fide conven-
47 tion center that is within the incorporated limits of a city having a pop-
48 ulation of three thousand (3,000) or greater, and which city does not have
49 located therein a convention center with a valid convention center license
50 to sell liquor by the drink. For the purpose of this section, a convention

center means a facility having at least thirty-five thousand (35,000) square feet of floor space or a facility having at least one hundred twenty (120) sleeping rooms and an adjoining meeting room that will accommodate not less than three hundred fifty (350) persons, whether or not such room may be partitioned into smaller rooms, and provided that such meeting room shall contain at least three thousand (3,000) square feet of floor space. Such license must be placed in actual use in said convention center within one (1) year from the date of its issuance. The fee for any license issued to a qualifying convention center shall be as prescribed in subsection (3) of section 23-904, Idaho Code. The holder of a convention center license shall not be eligible for the issuance of a license in the same city pursuant to any other provision of this chapter. For purposes of this section, the term "holder" shall include an owner, operator, or lessee and shall include a stockholder, director, or officer of a corporation or a partner in a partnership, which corporation or partnership has been issued a convention center license pursuant to this chapter. Not more than one (1) licensed premises shall be permitted on any convention center or within the area comprising the same, including convention centers that also comprise golf courses or ski resorts as defined in this section.

(8) If an owner, operator, or lessee has a validly issued retail liquor by the drink license at the time of application, nothing in this chapter shall prohibit the issuance of a license to the owner, operator, or lessee of a food, beverage, and/or lodging facility that has been in continuous operation in the same location for at least seventy-five (75) years, except for temporary closings for refurbishing or reconstruction, or a food, beverage, and lodging facility serving the public by reservation only, having a minimum of five (5) rooms operating in a structure that has been in existence for at least seventy-five (75) years and has been on the historic register for a minimum of ten (10) years, is situated within five hundred (500) yards of a natural lake containing a minimum of thirty-six thousand (36,000) acre feet of water when full with a minimum of thirty-two (32) miles of shoreline, and is located in a county with a minimum population of sixty-five thousand (65,000). The provisions of section 23-910, Idaho Code, shall apply to licenses issued to continuous operation facilities. The fees shall be the same as those prescribed for golf courses as set forth in section 23-904, Idaho Code. No license shall be issued under this subsection on or after July 1, 2028.

(9) Nothing in this chapter shall prohibit the issuance of a license to a federally recognized Indian tribe as defined in section 67-4001, Idaho Code, which is an owner, operator, or lessee of a food, conference, and lodging facility located within the boundaries of the Indian tribe's reservation and containing a minimum of thirty-five thousand (35,000) square feet and fifty (50) guest rooms. Licenses issued to Indian tribes are not transferable.

(10) Nothing in this chapter shall prohibit the issuance of a license to the owner, operator, or lessee of the lodging, dining, and entertainment facilities owned by a gondola resort complex and operated in conjunction with the other public services provided by a gondola resort complex located within the ownership/leasehold boundaries of a gondola resort complex. For purposes of this subsection, a gondola resort complex means an actual bona

1 fide gondola capable of transporting people for recreational or entertain-
2 ment purposes at least three (3) miles in length with a vertical rise of three
3 thousand (3,000) feet, portions of which may be located within or over the
4 limits of one (1) or more cities.

5 (11) Nothing in this chapter shall prohibit the issuance of a license to
6 the owner, operator, or lessee of a winery also operating a golf course on the
7 premises.

8 (12) Subject to approval of the mayor and city council, nothing in this
9 chapter shall prohibit the issuance of a license to the owner, operator, or
10 lessee of a food, conference, and lodging facility constructed after May 1,
11 2000, containing a minimum of thirty-five thousand (35,000) square feet and
12 fifty-five (55) guest rooms with a minimum taxable value of three million
13 dollars (\$3,000,000) in a city with a population of less than five thousand
14 (5,000) according to the most recent census.

15 (13) Nothing in this chapter shall prohibit the issuance of a license
16 to the owner, operator, or lessee of a conference and event center that is
17 within the city limits of a resort city as defined in section 50-1044, Idaho
18 Code, that has enacted local option nonproperty taxes in accordance with
19 section 50-1046, Idaho Code, including, at the time of issuance, a resort
20 city tax on sales of liquor by the drink, wine, and beer sold at retail for
21 consumption on the licensed premises. There shall be only one (1) conference
22 and event center license to sell liquor by the drink issued per resort city
23 pursuant to this subsection. For the purposes of this section, a confer-
24 ence and event center means facilities situated on premises consisting of a
25 building or buildings and the contiguous property owned or leased and under
26 common ownership or control by the licensee. Such facilities must provide
27 no less than four thousand (4,000) square feet of enclosed space for confer-
28 ence and event purposes, exclusive of space dedicated by the licensee to the
29 commercial kitchen. The commercial kitchen must include a type 1 commercial
30 hood and cooking equipment, exclusive of microwave ovens and grills. The
31 fee for any license issued to a qualifying licensee shall be as prescribed
32 in section 23-904(1), (2), or (3), Idaho Code, depending on the population
33 of the resort city in which the conference and event center is located and as
34 prescribed in section 23-916, Idaho Code. A license issued pursuant to this
35 subsection may be renewed without regard to the population or status of the
36 city for which the license was issued and without regard for the continuation
37 of local option nonproperty taxes by the city, provided the applicant for
38 renewal is not otherwise disqualified from licensure pursuant to section
39 23-910, Idaho Code. Not more than one (1) license shall be issued to a con-
40 ference and event center. A conference and event center license shall not
41 be transferable and may not be sold. For the purpose of issuance and mainte-
42 nance of a license under this subsection, such facilities may serve liquor
43 only while such facilities are hosting a conference or event. Nothing in
44 this subsection shall excuse a conference and event center from complying
45 with actual use standards in title 23, Idaho Code, or administrative rules
46 promulgated pursuant to statutory authority granted under this title.

47 (14) Nothing in this chapter shall prohibit the issuance of a license to
48 the owner, operator, or lessee of an actual, bona fide distillery. A license
49 issued pursuant to this subsection shall authorize the sale of liquor ex-
50 PLICITLY from brands that are owned by the distillery. The fees for a license

1 issued pursuant to this subsection shall be the same as those prescribed for
 2 golf courses as set forth in section 23-904, Idaho Code. As used in this sec-
 3 tion, "bona fide distillery" means a legally authorized premises that manu-
 4 factures and bottles liquor and is located on no less than five (5) acres of
 5 agricultural zoned property in an unincorporated area of Idaho.

6 ~~(14)~~ (15) The provisions of section 23-910, Idaho Code, shall apply to
 7 licenses issued under the provisions of this section. The fees shall be the
 8 same as those prescribed for golf courses as set forth in section 23-904,
 9 Idaho Code. Except for licenses issued pursuant to subsection (1) of this
 10 section, licenses issued under the provisions of this section are not trans-
 11 ferable to any other location, facility, or premises.

12 ~~(15)~~ (16) A license issued pursuant to subsection (1) of this section on
 13 or after July 1, 2023:

14 (a) May not be transferred to another licensee except as provided in
 15 subsections ~~(16)~~ (17) (a), (b), and (c) and subsection ~~(18)~~ (19) of this
 16 section or section 23-950, Idaho Code, provided that the licensee must
 17 elect to associate such license with the real property at the time of the
 18 initial license issuance; and

19 (b) Shall not qualify for the discount established in section
 20 23-217(2), Idaho Code.

21 ~~(16)~~ (17) A license issued pursuant to subsection (1) of this section
 22 prior to July 1, 2023, may be transferred to another licensee one (1) time
 23 only on or after July 1, 2023, and shall thereafter be nontransferable.
 24 Prior to such onetime-only transfer, the licensee shall be entitled to
 25 the discount established in section 23-217(2), Idaho Code. After any one-
 26 time-only transfer, the licensee placing the license in actual use shall
 27 not be entitled to such discount. For purposes of this subsection only, the
 28 following circumstances shall not qualify as a onetime-only transfer:

29 (a) The license is inherited or otherwise acquired through a will,
 30 trust, or other estate-planning document;

31 (b) The license is given to a person by the person's parent, grandpar-
 32 ent, child, grandchild, sibling, aunt, uncle, or first cousin without
 33 consideration or remuneration;

34 (c) To the extent not already included in paragraphs (a) and (b) of this
 35 subsection, any of the events listed in section 23-908(5) (a) through
 36 (e), Idaho Code;

37 (d) The sale of the business assets of an entity or individual licensee,
 38 including the transfer of an associated license placed in actual use,
 39 either owned or leased prior to July 1, 2023, to a qualified applicant,
 40 provided that:

41 (i) The transferring licensee has occupied its location, facil-
 42 ity, or premises at the time of sale for at least one (1) year prior
 43 to the sale of business assets; and

44 (ii) The qualified new licensee operates at the same location,
 45 facility, or premises for one (1) year following the sale of as-
 46 sets and transfer of the associated liquor license placed in ac-
 47 tual use. Any sale that does not conform to the provisions of this
 48 paragraph shall be considered a onetime-only transfer of the li-
 49 cense pursuant to this subsection;

(e) The sale or transfer of some or all of the ownership interests of an entity licensee to a qualified applicant provided that:

(i) The entity licensee has occupied its location, facility, or premises at the time of sale for at least one (1) year prior to the sale and transfer of the ownership interests; and

(ii) The existing entity licensee operates at the same location, facility, or premises for one (1) year following the closing of the sale or transfer of the ownership interests. Any sale that does not conform to the provisions of this paragraph shall be considered a onetime-only transfer of the license pursuant to this subsection;

(f) The licensee owns, operates, or leases more than one (1) business or entity and transfers the license from one business or entity to another owned, operated, or leased by such licensee;

(g) A transfer pursuant to subsection ~~(18)~~ (19) of this section; or

(h) A transfer pursuant to section 23-950, Idaho Code.

~~(17)~~ (18) If a license that was issued pursuant to subsection (1) of this section was under lease before July 1, 2023, then such lease may continue pursuant to its own terms and may be amended or renewed, or such lease may be assigned to a purchaser pursuant to subsection ~~(16)~~ (17) (d) or (e) of this section. At the end of the term of such lease, the license shall revert to the license owner's possession, and the license owner may opt for one (1) of the following alternatives:

(a) The owner may transfer the license pursuant to the provisions of subsection ~~(16)~~ (17) of this section, including a onetime-only transfer under an installment contract wherein such contract shall not exceed a term of five (5) years;

(b) The owner may retain the license and apply to become the actual user of the license, which retention and use shall be exempt from the onetime-only transfer pursuant to subsection ~~(16)~~ (17) of this section;

(c) The owner may proceed under subsections ~~(16)~~ (17) (a) through (g) of this section; or

(d) If the owner of the license is also the owner of an estate in real property, the owner may proceed under subsection ~~(18)~~ (19) of this section.

~~(18)~~ (19) (a) An entity or person who owns a license issued pursuant to subsection (1) of this section and holds, in whole or in part, an estate in real property that is leased to a tenant pursuant to a written lease may permit such tenant to operate the license at the leased premises during the term of the premises lease, provided that the license shall identify on the face of the license the name of the license owner, the name of the premises tenant as the qualified licensee who places the licenses in actual use, and the location of the associated licensed premises.

(b) The license owner may permit a subsequent tenant under a new premises lease to place the license into actual use upon termination of the prior premises lease as provided in this subsection.

(c) A license operated pursuant to this subsection may be transferred to any third-party purchaser of the licensed premises where the license is placed in actual use at the time of such transfer.

(d) The onetime-only transfer of the license under subsection ~~(16)~~ (17) of this section shall no longer be available to the license owner once placed in use under this subsection, but the license owner may thereafter proceed under subsections ~~(16)~~ (17) (a) through (g) or subsection ~~(17)~~ (18) of this section or under this subsection.

(e) The license owner shall be jointly responsible with the tenant to the director for all renewals, filings, payment of fees, and administrative actions taken with respect to the license.

~~(19)~~ (20) If the director maintains a priority list of the applicants for a license to be issued pursuant to subsection (1) of this section and an applicant receives notice in writing from the director that a license is available, the applicant may elect to have the license issued in the name of:

(a) The original applicant;

(b) Persons as set forth in subsection ~~(16)~~ (17) (a) through (c) of this section as its designee; or

(c) A single purpose entity owned only by the original applicant or any party set forth in subsection ~~(16)~~ (17) (a) through (c) of this section or such combination of the original applicant or a party set forth in subsection ~~(16)~~ (17) (a) through (c) of this section.

SECTION 2. That Section 23-910, Idaho Code, be, and the same is hereby amended to read as follows:

23-910. PERSONS NOT QUALIFIED TO BE LICENSED. No license shall be issued to:

(1) Any person, or any one (1) of its members, officers, or governing board, who has, within three (3) years prior to the date of making application, been convicted of any violation of the laws of the United States, the state of Idaho, or any other state of the United States, or of the resolutions or ordinances of any county or city of this state, relating to the importation, transportation, manufacture or sale of alcoholic liquor or beer; or who has been convicted of, paid any fine, been placed on probation, received a deferred sentence, received a withheld judgment or completed any sentence of confinement for any felony within five (5) years prior to the date of making application for any license.

(2) A person who is engaged in the operation, or interested therein, of any house or place for the purpose of prostitution or who has been convicted of any crime or misdemeanor opposed to decency and morality.

(3) A person whose license issued under this act has been revoked; an individual who was a member of a partnership or association which was a licensee under this act and whose license has been revoked; an individual who was an officer, member of the governing board or one (1) of the ten (10) principal stockholders of a corporation which was a licensee under this act and whose license has been revoked; a partnership or association one (1) of whose members was a licensee under this act and whose license was revoked; a corporation one (1) of whose officers, member of the governing board or ten (10) principal stockholders was a licensee under the provisions of this act and whose license has been revoked; an association or partnership, one (1) of whose members was a member of a partnership or association licensed under the provisions of this act and whose license has been revoked; a partnership or association, one (1) of whose members was an officer, a member of the govern-

ing board, or one (1) of the ten (10) principal stockholders of a corporation licensed under the provisions of this act and whose license has been revoked; a corporation, one (1) of whose officers, member of the governing board, or ten (10) principal stockholders was a member of a partnership or association licensed under the provisions of this act and whose license was revoked; a corporation, one (1) of whose officers, member of the governing board, or ten (10) principal stockholders was an officer, member of the governing board, or one (1) of the ten (10) principal stockholders of a corporation licensed under the provisions of this act and whose license was revoked.

(4) Any officer, agent, or employee of any distillery, winery, brewery, or any wholesaler, or jobber, of liquor or malt beverages except as provided in section 23-912, Idaho Code. This prohibition shall not apply to officers, agents, or employees of any winery operating a golf course on the same premises as the winery or officers, agents, or employees of any distillery, as described in section 23-903(14), Idaho Code.

(5) A person who does not hold a retail beer license issued under the laws of the state of Idaho.

(6) Any license, held by any licensee disqualified under the provisions of this section from being issued a license, shall forthwith be revoked by the director.

SECTION 3. That Section 23-912, Idaho Code, be, and the same is hereby amended to read as follows:

23-912. RESTRICTIONS OF PERSONS INTERESTED IN PREMISES. (1) Except as provided in subsection (2) of this section, no manufacturer, rectifier, wholesaler, stockholder, shareholder, partner or the owner of any other interest in any corporation, association or partnership financially interested in the manufacture, transportation (except public carriers) or sale of liquor shall hold any interest in any premise licensed hereunder for the sale of liquor or receive any rental or remuneration from any such premise.

(2) A manufacturer, rectifier, wholesaler, stockholder, shareholder, partner or the owner of any interest in any corporation, association or partnership financially interested in the manufacture, transportation or sale of liquor may hold interest in a licensed premises if the licensed premises serves food cooked on the site of the licensed premises, and the person or entity can show through recordkeeping that no more than fifty percent (50%) of the gross revenue to the licensed premises is derived from the sale of alcoholic beverages on-site. The owner of the licensed premises pursuant to this subsection shall comply with and be subject to all other rules, regulations or other provisions of law which apply to manufacturers, rectifiers, wholesalers, stockholders, shareholders, partners or the owners of any interest in any corporation, association or partnership financially interested in the manufacture, transportation or sale of liquor save and except as such rules, regulations or laws may restrict such sales at the licensed premises. The holder of a license pursuant to this section shall not be disqualified from holding a beer license, a retail wine license or wine by the drink license for the sale of beer or wine at the licensed premises on the grounds that the licensee is also a manufacturer, wholesaler, stockholder, shareholder, partner or the owner of any interest in any corporation, association or partnership financially interested in the manufacture, transportation or

1 sale of liquor, beer or wine. This subsection shall not be deemed to grant
 2 a license for the retail sale of liquor by the drink and the license must be
 3 obtained through normal lawful means. A distillery, as described in section
 4 23-903(14), Idaho Code, shall not be required to serve food cooked on the
 5 site of the licensed premises and shall be authorized to sell liquor from
 6 brands explicitly owned by the distillery. Such sale of liquor shall not be
 7 considered to be in conflict with the provisions of this chapter.

8 SECTION 4. That Section 23-944, Idaho Code, be, and the same is hereby
 9 amended to read as follows:

10 23-944. EXCEPTIONS FROM RESTRICTION ON ENTERING OR REMAINING. It
 11 shall not be unlawful for, nor shall section 23-943, Idaho Code, be construed
 12 to restrict, any person under the age of twenty-one (21) years from entering
 13 or being:

14 (1) Upon the premises of any restaurant, as herein defined, or in any
 15 railroad observation or club car or any airplane of a commercial airline,
 16 notwithstanding that such premises may also be licensed for the sale of
 17 liquor by the drink or for the sale of beer for consumption on the premises or
 18 that alcoholic beverages, or beer, or both, are prepared, mixed or dispensed
 19 and served and consumed therein;

20 (2) In any building, a part or portion of which is used as a place, as
 21 herein defined, provided such place is separated or partitioned from the re-
 22 mainder of said building and access to such place through a doorway or door-
 23 ways or other means of ingress can be controlled to prevent persons under the
 24 ages specified with respect thereto in section 23-943, Idaho Code, from en-
 25 tering therein;

26 (3) In any baseball park, sports arena, convention center, multi-
 27 purpose arena, plaza, theater that is presenting live performances, or
 28 fairgrounds, notwithstanding that such premises or any portion thereof may
 29 be licensed for the sale of liquor by the drink, wine or beer for consumption
 30 on the premises or that such products are dispensed and served and consumed
 31 therein; provided, that the person under the age of twenty-one (21) years is
 32 attending a lawful activity, show, exhibition, performance or event on the
 33 premises or is required to be present as a condition of his employment. It is
 34 lawful for persons under the age of twenty-one (21) years to enter and remain
 35 in a baseball park, sports arena, convention center, multipurpose arena,
 36 plaza, theater that is presenting live performances, or fairgrounds as long
 37 as the activity, show, exhibition, performance or event is lawful and the
 38 person does not violate section 23-949, Idaho Code;

39 (4) Upon the premises of any licensed brewery or winery notwithstanding
 40 that such premises or any portion thereof may also be licensed for the sale of
 41 beer or wine for consumption on the premises or that beer or wine is dispensed
 42 and served and consumed therein;

43 (5) Upon the licensed premises of a wine retailer, wholly owned and op-
 44 erated by a licensed winery that retails exclusively the products of that
 45 winery;

46 (6) At a location, other than a liquor, beer, or wine licensed premises,
 47 authorized to serve alcoholic beverages under a valid alcohol beverage
 48 catering permit; ~~or~~

1 (7) In any movie theater that is allowed to sell beer or wine for con-
2 sumption on the premises pursuant to a valid license and which movie theater
3 had a license that was valid and not suspended or revoked on July 1, 2025, and
4 in any other theater or movie theater that is located in a building listed on
5 the national register of historic places. No films, still pictures, elec-
6 tronic reproductions or other visual reproductions that are in violation of
7 chapter 41, title 18, Idaho Code (indecent and obscenity), or are in viola-
8 tion of federal law regarding pornography, indecent or obscenity shall be
9 shown or displayed on the premises. As used in this subsection, "movie the-
10 ater" means a motion picture theater that is being utilized solely for exhi-
11 bition of a motion picture-; or

12 (8) Upon the licensed premises of a distillery, as described in section
13 23-903(14), Idaho Code, that sells liquor exclusively from the brands owned
14 by the distillery.

15 SECTION 5. An emergency existing therefor, which emergency is hereby
16 declared to exist, this act shall be in full force and effect on and after
17 July 1, 2026.